WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SUDAN

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Port Sudan / Red Sea State	Main seaport and the government's base from 2023 until January 2026; the country's principal gateway for trade, aid and fuel imports	Port logistics, humanitarian supply chains, Red Sea resources
Khartoum (capital)	Government returned in January 2026, the Central Bank resumed operations there and domestic flights restarted at Khartoum airport on 1 February 2026	Reconstruction, construction materials, power and water rehabilitation
Gezira and Sennar (central irrigated belt)	Core farming region under government administration; Sennar is among the states covered by a new African Development Bank grant	Agriculture, agri-inputs, food processing
Kassala and the east	Government-administered eastern states with agricultural potential and AfDB-supported recovery projects	Sesame and oilseeds, livestock, agri-logistics
Gold-producing states under government administration	Gold output reached 70 tonnes in 2025 and accounted for about 62% of recorded exports in H1 2025	Mining services, refining and traceability (subject to sanctions screening)
Kordofan (El Obeid)	Livestock and gum arabic belt that remains an active front line, with El Obeid and supply routes affected by fighting	Livestock, gum arabic (future opportunity)
Darfur	Largely under RSF control, with a rival RSF-backed administration in Nyala; subject to the UN Darfur arms embargo and acute humanitarian need	Humanitarian operations only at present

INVESTOR ENTRY ROUTES

- Investment Encouragement Act 2021, which provides equal treatment for foreign investors, protection against arbitrary measures, and expropriation only for public purpose with prompt and adequate compensation
- Investment Organ and Private Sector Development Authority, overseen by the Ministry of Investment and International Cooperation, operating a Single Window for licensing and incentives such as profit-tax exemptions of up to five years and customs exemptions on capital goods
- Central Bank of Sudan registration, required before operating; profits and loan repayments may be transferred in convertible currency subject to Central Bank rules, with multiple exchange rates in practice

- Public-Private Partnership Act 2021 and specialist investment courts; Sudan is an ICSID contracting state, so arbitration is available where a treaty or contract provides consent
- Development-finance and humanitarian procurement channels, including African Development Bank grants and the UN's $2.9 billion 2026 Humanitarian Needs and Response Plan
- Sanctions-compliant structuring: there is no comprehensive US embargo, but UN, US, UK and EU targeted listings, US Chemical Weapons Act measures and the EU ban on Sudanese gold define what is permissible

MARKET-ENTRY OBSERVATION

Sudan in October 2026 is a market in early stabilisation where government-administered areas are rebuilding. After contracting 13.5% in 2024, the economy returned to growth of 1.2% in 2025, with the African Development Bank projecting 2.1% in 2026 and 3.2% in 2027, and inflation forecast to fall from 150.2% in 2025 to 78.3% in 2026; official data showed annual inflation at 44.5% in May 2026. Gold output recovered to 70 tonnes in 2025, up from 64 tonnes in 2024. The army-aligned government returned to Khartoum in January 2026, the Central Bank resumed operations in the capital and Khartoum airport reopened to domestic flights on 1 February 2026. The Investment Encouragement Act 2021, a Single Window and Sudan's ICSID membership provide a legal base for investment, and the African Development Bank signed an $83 million grant in May 2026 for Sennar, Kassala and Blue Nile.

Sudan's defining challenge is the war between the Sudanese Armed Forces (SAF) and the Rapid Support Forces (RSF), under way since April 2023. At least 59,000 people have been killed, about 14 million have been displaced and 33.7 million people need humanitarian assistance in 2026, with famine conditions in parts of the country. The army holds central and eastern Sudan, including Khartoum and Port Sudan, while the RSF controls most of Darfur and parts of the south. The Quad (US, Saudi Arabia, UAE, Egypt) is pressing for a 90-day humanitarian truce leading to a permanent ceasefire, though the army leadership rejected negotiations on 6 October 2026. Resilience is visible in about 3 million returns and the restart of administration in Khartoum. For investors, the opportunity lies in lawful humanitarian supply, agriculture and power in government-administered areas today, and in positioning for reconstruction once a ceasefire holds.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Active armed conflict (SAF vs RSF)	Fighting continues in Kordofan, Darfur and Blue Nile, with drone strikes reaching cities and infrastructure; a Quad truce proposal has not yet been agreed	Limit exposure to government-administered central and eastern areas, use security and political-risk advice, and phase investment to ceasefire milestones
UN, US, UK and EU sanctions and designations	The UN Darfur arms embargo and targeted sanctions run to 11 December 2026; the US has designated both army chief al-Burhan and RSF leader Hemedti, and the UK and EU list individuals and companies on both sides	Engage sanctions counsel, screen every counterparty and beneficial owner, and ensure no funds or benefit reach listed persons
Gold and export-control restrictions	The EU banned purchase, import and transport of Sudanese gold in July 2026; US Chemical Weapons Act measures deny US government credit and restrict national-security-controlled exports	Avoid gold supply chains without specialist advice, and use available US licensing routes, such as those for wholly-owned subsidiaries, where relevant
Competing authorities	An RSF-backed administration operates in Nyala, and the US State Department said in September 2026 that neither the army nor the RSF represents legitimate constitutional governance	Contract with established state institutions and the Central Bank, use ICSID or neutral-seat arbitration, and obtain political-risk insurance where available
Currency and inflation	The pound has lost most of its value since 2023 and the parallel rate stood about 9.6 times the official rate in May 2026, though inflation is projected to ease	Price contracts in hard currency, register with the Central Bank before operating, and hedge local-currency exposure
Humanitarian conditions and infrastructure	33.7 million people need assistance, and electricity-sector losses are estimated at about $3 billion, with national access of	Partner with UN agencies and DFIs; off-grid solar is a clear opening, with about 190 MW installed against an estimated 15

Issue	Potential Impact	Possible Mitigation
	45-60%	GW potential
Banking and transfer constraints	Correspondent banking and foreign-exchange transfers remain difficult and several investment-law regulations are still outstanding	Use internationally regulated banks with Sudan compliance experience and build transfer timelines into project cash-flow planning

INVESTOR RISK NOTE

Sudan is a legally restricted, conflict-affected market, and investors should treat compliance and security as the starting point of any engagement. The war between the SAF and the RSF continues; the UN Darfur arms embargo and targeted sanctions have been renewed to 11 December 2026, the US has designated both SAF leader Abdel Fattah al-Burhan and RSF leader Mohamed Hamdan Dagalo, and the UK and EU maintain listings on both sides. Since July 2026 the EU has prohibited purchase, import and transport of Sudanese gold, and US Chemical Weapons Act measures deny US government credit and restrict sensitive exports. Sudan is not under a comprehensive US embargo, however, and lawful activity remains possible in humanitarian supply, agriculture, power and reconstruction in government-administered areas, where the economy returned to growth in 2025 and administration has resumed in Khartoum. Investors should obtain specialist sanctions and legal advice, screen counterparties continuously, avoid gold supply chains without expert guidance, and treat Sudan as a market where careful positioning today builds readiness for reconstruction once a ceasefire takes hold.

MARKET ACCESS

Sudan's Red Sea coastline makes Port Sudan a natural gateway between the Gulf, Egypt and the African interior. Trade is strongly oriented to the Gulf and Egypt: in H1 2025 the UAE took about 58% of recorded exports, Saudi Arabia about 12% and Egypt about 11%, while China, Egypt, India and the UAE were the main import sources. Gold, livestock, sesame and gum arabic are the leading exports. Sudan is a member of the Common Market for Eastern and Southern Africa (COMESA) and the Greater Arab Free Trade Area, and is negotiating WTO accession. Port Sudan's facilities have also handled South Sudanese crude, and the resumption of river transport with Egypt in early 2026 points to the corridor potential that a settlement would release.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Transitional Sovereignty Council (Chairman Gen. Abdel Fattah al-Burhan)	Sets policy for the army-aligned government in Khartoum; its chairman is designated by the US Treasury	Engage only through sanctions-cleared channels and ensure no benefit to listed persons
Ministry of Investment and International Cooperation / Investment Organ and Private Sector Development Authority	Licenses foreign investment and operates the Single Window under the 2021 Act	First point of contact for licensing, incentives and project registration
Central Bank of Sudan	Monetary and foreign-exchange authority, back in Khartoum since January 2026; registration is a precondition for repatriation rights	Essential for currency, transfer and gold-export rules
Ministry of Minerals / Sudanese Mineral Resources Company	Oversees gold and mineral licensing; reported output of 70 tonnes in 2025	Relevant only with full sanctions and provenance review, given EU and UK gold measures
Ministry of Energy and Petroleum	Responsible for power, fuel and the oil pipeline to Port Sudan	Counterpart for power rehabilitation and off-grid solar
African Development Bank and UN agencies (UNDP, WFP)	Fund and deliver recovery and humanitarian programmes in government-administered states	Practical route to lawful, financed project participation
Sanctions authorities (UN 1591 Committee, US OFAC, UK OFSI, EU)	Set the legal limits on dealings with Sudanese counterparties and sectors	Define permissible scope before any commitment; track renewals in December 2026 and October 2027

CURRENT INTERNATIONAL BUSINESS CHANNELS

The most active channels are currently development and humanitarian partners: the African Development Bank, the World Bank through its Sudan Economic Monitor, UNDP and WFP, whose programmes and procurement offer a lawful entry point. The Quad (US, Saudi Arabia, UAE, Egypt), supported by the African Union, EU and UK, leads diplomacy on a truce and is the key forum to follow for reconstruction timing. Gulf and Egyptian business links are the deepest commercial relationships, and in 2025 the Prime Minister presented a $100 billion package of proposed joint projects to Saudi Arabia, including Red Sea resources. Investors are commonly encouraged to work with a Sudanese partner, which makes thorough due diligence on local counterparties essential.

INVESTOR PROFILE BEST SUITED

Sudan currently suits experienced, risk-tolerant investors with strong compliance functions: humanitarian logistics and supply companies; agri-input, seed, fertiliser and food-processing firms building on sesame, livestock and gum arabic; off-grid solar and power-equipment providers; and construction-materials and engineering firms preparing for reconstruction. Regional investors from the Gulf and Egypt, and DFI-backed funds, are best placed for early engagement. Long-horizon investors can build relationships and pipelines now in readiness for a ceasefire, while gold-sector investment should be considered only with specialist sanctions and provenance advice.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission a sanctions and legal review before any engagement
Screen counterparties, beneficial owners and sectors against UN, US, UK and EU measures, including the EU gold ban and US Chemical Weapons Act restrictions.

STEP 2: Focus on permitted sectors in government-administered areas
Prioritise humanitarian supply, agriculture, power and reconstruction inputs in Khartoum, Port Sudan and the central and eastern states.

STEP 3: Register under the 2021 Investment Act and with the Central Bank
Use the Single Window for licensing and incentives, and secure Central Bank registration early to protect transfer rights.

STEP 4: Partner with development and humanitarian financiers
Align with African Development Bank, World Bank and UN-funded programmes to access financed projects and shared risk management.

STEP 5: Build reconstruction readiness around the peace process
Track the Quad truce effort and sanctions renewals, and prepare scalable plans to deploy quickly once a ceasefire holds.